

not likely to improve as the Reserve Bank of India expects inflation to bounce back to 4 per cent by March 2010. Explains RBI Governor Duvvuri Subbarao: "When we talk of inflation, we factor in all the indices. We understand that the CPI is still very high. We expect headline inflation to be around 4 per cent by March 2010, as food and commodity prices are expected to pick up next year."

But why are food prices still so high? The primary reason is clearly the demand-supply mismatch. Over the last decade, India's food production has not kept pace with the increase in consumption. For instance, foodgrain production has increased only by 17.20 per cent in the last eight years from 196.81 million tonnes in 2001 to 230.67 million tonnes in 2008. Explains Ajit Ranade, chief economist at the Aditya Birla Group: "Food prices reflect the gap between demand and supply and changing consumption patterns. India needs to focus on its supply-side strategy. Food productivity will have to be enhanced if India does not want to import food." Besides, years of neglect have brought Indian agriculture to a point where productivity is perhaps the lowest. S. Sivakumar,

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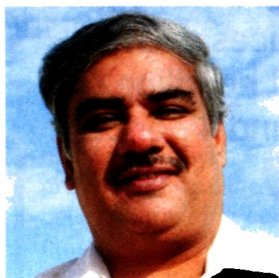
MAHENDRA DEV, *Chairman, CACP*



BANDEEP SINGH

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S. SIVAKUMAR, *Divisional Chief Executive, ITC Agri*



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divisional chief executive of ITC's Agri Business Division, says: "More investments in research and extension is the key to improving productivity of crops in the long run."

The other reason that has pushed up food prices is the government's "irrational" decision to jack up minimum support prices (MSP) last year. While the Government increased prices of foodgrains on the back of high international prices in the last two years, it is now finding it difficult to lower prices

even if the prices have cooled off in global markets. In a pre-election year, the UPA Government decided to extend public largesse to farmers by increasing MSP of wheat to Rs 1,080 and paddy to Rs 645. In the last two years, MSP has been increased by about 30-90 per cent for different foodgrains.

With the Government not procuring rice and wheat equitably from all states, high MSP only goes towards benefiting the rich farmers in Punjab, Haryana and parts of western Uttar

Pradesh and Andhra Pradesh. Says Mahendra Dev, chairman of Commission of Agriculture Costs and Prices: "Given that India has a shortage of pulses of about three million tonnes, the increase in the MSP of pulses and oil seeds was justified. But when it comes to wheat and paddy, one should be careful as lowering MSP is rather difficult. In that sense, about 30 per cent contribution of high food prices can be attributed to MSP."

Any government that comes to power will have to rein in food prices by improving the public distribution system such that the poor are not subjected to high prices. Till then, this Government will keep celebrating historical lows in inflation even as the common man suffers high prices. ■